STUDY POINT

Class XII • Maharashtra HSC Board • Commerce

ORGANISATION OF COMMERCE AND MANAGEMENT (OCM)

English Medium | Chapter-wise Exam-Oriented Notes

Includes all 8 chapters, key definitions, point-wise revision notes, and exam-writing tips.

Prepared as supplementary revision material. Use the prescribed Balbharati textbook and your teacher's guidance as the final authority for syllabus wording and current legal details.

How to use these notes

- Learn the meaning/definition first, then remember headings and explain each point in 1–2 sentences.
- For 4–6 mark answers, write a short introduction, numbered points with brief explanations, and a concluding line if suitable.
- Use textbook terminology wherever your teacher or prescribed textbook requires it.
- These are original summary notes, not a reproduction of the textbook or a guarantee of questions that will appear in the examination.

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1. Principles of Management

Meaning

Management means getting work done through people by planning, organising, staffing, directing and controlling resources to achieve organisational goals.

Nature of management principles

- Universal application: useful in different types of organisations, though application may vary.
- General guidelines: guide managers but are not rigid rules for every situation.
- Formed by practice and experimentation: developed through observation, experience and research.
- Flexible: can be adjusted according to circumstances.
- Behavioural in nature: deal with people and human behaviour.
- Cause-and-effect relationship: help managers understand likely results of decisions.
- Contingent: application depends on the situation.

Importance of management principles

- Improve understanding of management and guide managers in decision-making.
- Help use resources efficiently and reduce waste.
- Support scientific decisions instead of guesswork.
- Encourage effective training and improve coordination.
- Help organisations adapt to changing business conditions.

Fayol's 14 principles — quick revision

- Division of Work: specialisation improves efficiency.
- Authority and Responsibility: authority must be balanced with responsibility.
- Discipline: employees follow rules and agreements.
- Unity of Command: each employee receives orders from one superior.
- Unity of Direction: activities with the same objective follow one plan and one head.
- Subordination of Individual Interest: organisational interest comes before personal interest.
- Remuneration: fair payment for work.
- Centralisation: suitable balance between concentration and delegation of authority.
- Scalar Chain: clear line of authority from top to bottom; gang plank may allow direct contact in urgent cases.
- Order: right person and material in the right place.
- Equity: fairness and kindness in treatment.
- Stability of Tenure: reasonable job security supports efficiency.
- Initiative: employees should be encouraged to suggest and carry out plans.
- Esprit de Corps: promote team spirit and unity.

Taylor's scientific management

- Science, not rule of thumb: use tested methods instead of guesswork.
- Harmony, not discord: develop cooperation between workers and management.
- Cooperation, not individualism: work jointly to meet targets.
- Development of each person: select, train and develop employees scientifically.

- Maximum output: aim for higher productivity and prosperity for both workers and employers.

Important techniques of scientific management

- Time Study: determines standard time for a task.
- Motion Study: identifies and removes unnecessary movements.
- Method Study: finds the best method of doing a job.
- Fatigue Study: provides suitable rest intervals to reduce tiredness.
- Standardisation: sets standards for tools, methods and working conditions.
- Differential Piece Rate: different wage rates for workers who meet or fail to meet the standard.

Fayol and Taylor — distinction

- Fayol focused mainly on overall administration and management principles; Taylor focused on shop-floor efficiency and scientific work methods.
- Fayol's approach is top-management oriented; Taylor's is production/work-method oriented.
- Both aimed to improve efficiency, productivity and organisational performance.

2. Functions of Management

Core functions

- Planning: deciding in advance what to do, how to do it, when to do it and who will do it.
- Organising: identifying activities, grouping them, assigning duties and establishing authority relationships.
- Staffing: estimating manpower needs, recruitment, selection, placement, training, development and appraisal.
- Directing: instructing, guiding, motivating, supervising and leading employees.
- Controlling: setting standards, measuring performance, comparing results with standards and correcting deviations.

Planning — process and importance

- Set objectives; develop assumptions; identify alternatives; evaluate alternatives; select the best plan; implement it; follow up and review.
- Provides direction, reduces uncertainty, improves resource use, supports coordination and helps control performance.
- Limitations: may be time-consuming, costly, based on uncertain forecasts and may reduce flexibility if treated rigidly.

Organising — key points

- Identify and divide work; group related activities; assign duties; establish reporting relationships.
- Benefits: specialisation, clarity of roles, effective use of resources, coordination and growth.
- Delegation means assigning responsibility and giving authority to a subordinate while the superior remains ultimately accountable.

Staffing — key points

- Recruitment attracts candidates; selection chooses the most suitable candidate.
- Training improves skills for the current job; development prepares employees for broader future responsibilities.
- Proper staffing places the right person in the right job and improves morale and productivity.

Directing — elements

- Supervision: guiding and observing employees during work.
- Motivation: encouraging people to perform willingly; may be financial or non-financial.
- Leadership: influencing and guiding people toward goals.
- Communication: sharing information and understanding through clear, timely two-way messages.

Controlling — steps and importance

- Establish standards; measure actual performance; compare it with standards; identify deviations; take corrective action.
- Helps achieve goals, improves efficiency, maintains discipline, supports coordination and identifies problems early.
- Planning and controlling are linked: plans set standards, while control results help improve future plans.

Coordination

- Coordination integrates the efforts of individuals and departments to achieve common objectives.
- It is continuous, required at all management levels, and the responsibility of every manager.

3. Entrepreneurship Development

Meaning and entrepreneur

- Entrepreneurship is the process of identifying an opportunity, organising resources, taking calculated risks and creating value through a business venture.
- An entrepreneur is the person who starts, organises and manages an enterprise while bearing business risk.

Characteristics of an entrepreneur

- Innovation and creativity; willingness to take calculated risks; self-confidence; initiative; leadership; decision-making ability; persistence; goal orientation; ability to organise resources.

Functions of an entrepreneur

- Identifies business opportunities and develops ideas.
- Arranges finance, people, materials, technology and other resources.
- Introduces innovation and makes business decisions.
- Accepts uncertainty and business risk.
- Creates employment, income, competition and economic development.

Entrepreneurship development and importance

- Entrepreneurship development helps people gain the knowledge, skills, attitude and confidence required to start and manage enterprises.
- It encourages self-employment, regional development, innovation, balanced growth and better use of local resources.

Entrepreneurial process

- Identify an opportunity; generate and screen ideas; conduct market and feasibility analysis; prepare a business plan; arrange finance and resources; complete legal formalities; launch the venture; monitor and improve it.

Business plan — common contents

- Executive summary; business idea and objectives; product/service description; market and competitor analysis; marketing plan; operations plan; organisation and staffing; financial estimates; risk analysis.

Common challenges

- Limited finance, strong competition, changing customer needs, regulatory compliance, shortage of skills, uncertainty and technology changes.
- Useful responses include research, budgeting, customer feedback, training, networking and careful risk management.

4. Business Services

Meaning and types

- Business services are supporting activities that help businesses operate smoothly. Major services include banking, insurance, transport, warehousing and communication.

Banking services

- Accepting deposits; lending money; transferring funds; collecting cheques; payment services; ATM, debit card, internet and mobile banking.
- Commercial banks connect savers and borrowers and support business payments and working capital.

E-banking

- E-banking allows banking transactions through electronic channels such as websites, mobile apps, ATMs, cards, UPI and other digital payment systems.
- Benefits: convenience, speed, access beyond branch hours and reduced paperwork.
- Risks: phishing, fake links, OTP scams and unauthorised access. Never share passwords, PINs or OTPs; use official apps and report suspicious transactions quickly.

Insurance

- Insurance is a contract in which an insurer agrees to compensate for specified loss or provide a benefit in return for a premium, subject to policy terms.
- Principles: utmost good faith; insurable interest; indemnity (generally for non-life insurance); contribution; subrogation; proximate cause; mitigation of loss.
- Life insurance provides a benefit linked to life/death and is not treated as a strict contract of indemnity. General insurance covers risks such as fire, marine and motor, subject to policy terms.

Transport and warehousing

- Transport moves people and goods from one place to another; it creates place utility and supports trade.
- Warehousing stores goods until required; it creates time utility, protects stock and helps manage seasonal demand.

Communication services

- Communication transfers information between people and organisations. Examples include postal services, telephone, email, internet and video conferencing.
- Effective business communication should be clear, accurate, timely, complete and appropriate to the receiver.

5. Emerging Modes of Business

E-business and e-commerce

- E-business uses electronic networks to conduct business activities, including purchasing, production coordination, customer service and internal processes.
- E-commerce is the buying and selling of goods or services through electronic networks; it is a part of e-business.

Major e-business models

- B2B: business to business, e.g., a wholesaler selling to a retailer online.
- B2C: business to consumer, e.g., an online store selling to a customer.
- C2C: consumer to consumer, e.g., individuals selling used goods through a platform.
- C2B: consumer to business, e.g., a freelancer providing services to a company.

Benefits

- Wide market reach; 24-hour availability; faster transactions; lower physical-store costs; convenience; easy comparison; improved data and customer communication.

Limitations and risks

- Cybersecurity and privacy threats; lack of physical inspection; dependence on internet and technology; delivery delays; returns and refund disputes; intense competition; digital exclusion.

Online transaction process

- Register or select a guest checkout; choose goods/services; provide delivery details; select a secure payment method; confirm order; receive confirmation and track delivery.
- Before paying, check seller identity, total price, delivery/return policy and secure payment page.

Outsourcing

- Outsourcing means assigning selected business activities to an external specialist.
- Advantages: access to expertise, focus on core activities, potential cost savings and flexibility.
- Risks: loss of direct control, confidentiality concerns, dependence on provider and service-quality issues.

Online safety

- Use strong unique passwords and multi-factor authentication; avoid public Wi-Fi for sensitive payments; verify URLs; never share OTPs; keep devices updated; save transaction records.

6. Social Responsibilities of Business

Meaning

Social responsibility means that a business should consider the interests of society and stakeholders, not only profit, while conducting its activities ethically and legally.

Responsibility towards stakeholders

- Owners/investors: fair return, accurate information and protection of investment.
- Employees: fair wages, safe conditions, equal opportunity, training and respect.
- Consumers: quality products, fair prices, correct information and after-sales service.
- Government: obey laws, pay taxes honestly and provide required information.
- Community: support education, health, employment and local development.
- Environment: reduce pollution, conserve resources, manage waste and use sustainable methods.

Arguments in favour

- Builds goodwill and trust; supports long-term survival; reduces conflict; improves employee morale; strengthens customer loyalty; contributes to sustainable development.

Arguments against — and balanced view

- Some argue that social programmes may increase costs, reduce short-term profits or distract management from business goals.
- A balanced view is that responsible conduct, legal compliance and environmental care help protect long-term business interests and society.

Business ethics

- Business ethics are moral principles guiding business decisions and conduct.
- Examples: honesty in advertising, fair treatment, transparent accounts, avoiding bribery, protecting customer data and not misleading consumers.

Environmental protection

- Prevent pollution; reduce, reuse and recycle materials; conserve water and energy; use cleaner technology; follow environmental laws; educate employees and customers.

7. Consumer Protection

Meaning and need

- Consumer protection safeguards buyers against unfair trade practices, defective goods, deficient services, misleading advertisements and exploitation.
- It promotes consumer awareness, fair competition, trust and access to remedies.

Consumer rights

- Right to Safety: protection against goods and services hazardous to life and property.
- Right to be Informed: accurate information about quality, quantity, price, ingredients and risks.
- Right to Choose: access to a variety of goods/services at competitive prices.
- Right to be Heard: consumer interests should receive due consideration.
- Right to Seek Redressal: remedy against unfair practices or exploitation.
- Right to Consumer Education: knowledge and skills to make informed choices.

Consumer responsibilities

- Check quality marks and labels; read instructions and terms; compare price and quality; ask for a bill; use products properly; avoid being misled by advertisements; file genuine complaints with evidence.

Common quality marks

- ISI/BIS mark: relevant standards for specified products.
- AGMARK: grading/quality certification for specified agricultural products.
- Hallmark: purity certification for gold/silver articles as applicable.
- FSSAI licence/registration details: food business regulatory identification; check labels and expiry/use-by information.

Consumer Protection Act, 2019 — overview

- The Act provides a framework for consumer rights and redressal, including consumer commissions and action against certain unfair trade practices and misleading advertisements.
- Consumer dispute redressal commissions operate at District, State and National levels; the appropriate forum depends on applicable jurisdiction rules and the value/nature of the claim.
- The Central Consumer Protection Authority (CCPA) can act on consumer-rights violations, unfair trade practices and misleading advertisements within its legal powers.

How to make a complaint

- Contact the seller/service provider first and keep bills, warranty, messages, photos and other evidence.
- State the issue, desired remedy and supporting facts clearly.
- Use the appropriate official consumer grievance or commission channel if the issue remains unresolved. Check current filing rules and jurisdiction before filing.

Possible reliefs

- Repair or replacement; refund; compensation where legally justified; discontinuance of unfair practices; withdrawal or correction of misleading advertisements; other relief permitted by law.

8. Marketing

Meaning and functions

- Marketing identifies customer needs and creates, communicates and delivers value to satisfy them while meeting organisational objectives.
- Functions include market research, product planning, branding, packaging, labelling, pricing, promotion, distribution, selling and after-sales service.

Marketing versus selling

- Marketing starts with customer needs and covers product, price, promotion and place; selling mainly focuses on converting available products into sales.
- Marketing aims at customer satisfaction and long-term relationships; selling focuses more directly on sales volume.

Marketing mix — 4 Ps

- Product: goods/services offered, including quality, design, features, brand, packaging and after-sales service.
- Price: amount charged; influenced by cost, demand, competition, customer value and business objectives.
- Place: distribution channels and logistics that make the product available at the right place and time.
- Promotion: communication to inform, persuade and remind customers; includes advertising, personal selling, sales promotion and publicity/public relations.

Product-related decisions

- Branding identifies and differentiates a product through a name, symbol or design.
- Packaging protects the product, supports storage/transport and attracts buyers.
- Labelling gives information such as contents, quantity, price, instructions, warnings and dates as applicable.

Pricing methods — basic overview

- Cost-based pricing considers production and selling costs plus a margin.
- Competition-based pricing considers competitors' prices.
- Demand/value-based pricing considers customer demand and perceived value.
- Price decisions should consider legal requirements, product position, target customers and long-term objectives.

Promotion tools

- Advertising: paid, non-personal communication by an identified sponsor.
- Personal selling: direct interaction between salesperson and prospective buyer.
- Sales promotion: short-term incentives such as discounts, coupons or samples.
- Public relations/publicity: activities and media coverage that shape public image; publicity is not always directly controlled or paid for by the business.

Importance of marketing

- Connects producers and consumers; creates demand; informs customers; supports product improvement; helps compete; generates revenue; creates utility and supports economic activity.

Final Quick Revision Checklist

- Can I define the key term in each chapter in 2–3 clear sentences?
- Can I write Fayol's 14 principles and Taylor's main principles with short explanations?
- Can I explain the five main functions of management and their steps?
- Can I list an entrepreneur's qualities, functions and the stages of starting a venture?
- Can I compare e-business with e-commerce and explain B2B/B2C/C2C/C2B?
- Can I explain stakeholder responsibilities and business ethics with examples?
- Can I list consumer rights, responsibilities and the basic complaint process?
- Can I explain the marketing mix (4 Ps) and the main promotion tools?

Important: Laws, consumer forum jurisdiction, product certification requirements and digital payment procedures can change. Check the latest official rules for current legal or procedural questions.

CHAPTER-WISE PRACTICE EXERCISES

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Use these questions for self-practice after reading each chapter. Write answers in your own words and check the prescribed textbook for exact board terminology. MCQ answer keys are provided at the end of each chapter section.

Chapter 1: Principles of Management

A. Multiple-choice questions

1. Which principle says that an employee should receive orders from only one superior? (a) Unity of Direction (b) Unity of Command (c) Equity (d) Order

2. Time Study is mainly used to determine: (a) product price (b) standard time for a task (c) employee salary only (d) market demand

3. Esprit de Corps means: (a) division of work (b) team spirit (c) discipline (d) centralisation

B. Short-answer questions

4. Define management principles.

5. Explain any four characteristics of management principles.

6. State any four benefits of management principles.

7. Explain Unity of Command and Unity of Direction.

8. What is the difference between Time Study and Motion Study?

C. Long-answer questions

9. Explain Fayol's 14 principles of management.

10. Explain Taylor's principles of scientific management and any four techniques.

MCQ answer key

1. (b) 2. (b) 3. (b)

Chapter 2: Functions of Management

A. Multiple-choice questions

1. Which function involves deciding in advance what is to be done? (a) Staffing (b) Planning (c) Directing (d) Controlling

2. Recruitment is a part of: (a) Planning (b) Staffing (c) Controlling (d) Coordination

3. Comparing actual performance with standards is part of: (a) Organising (b) Directing (c) Controlling (d) Staffing

B. Short-answer questions

4. Define planning and state any three benefits.

5. Write the steps in the planning process.

6. Explain delegation of authority.

7. Distinguish between recruitment and selection.

8. Explain any four elements of directing.

9. Why are planning and controlling interrelated?

C. Long-answer questions

10. Explain the five main functions of management.

11. Explain the steps in the controlling process and its importance.

MCQ answer key

1. (b) 2. (b) 3. (c)

Chapter 3: Entrepreneurship Development

A. Multiple-choice questions

1. An entrepreneur mainly organises resources and: (a) avoids all decisions (b) takes calculated risks (c) stops innovation (d) only works for wages

2. A business plan normally includes: (a) market analysis (b) only a logo (c) only staff names (d) no financial estimates

3. Entrepreneurship can encourage: (a) employment creation (b) waste only (c) less innovation (d) no economic activity

B. Short-answer questions

4. Define entrepreneur and entrepreneurship.

5. Explain any five characteristics of an entrepreneur.

6. State the main functions of an entrepreneur.

7. What is entrepreneurship development?

8. List the common contents of a business plan.

C. Long-answer questions

9. Explain the stages in the entrepreneurial process.

10. Discuss the importance of entrepreneurship for economic development.

MCQ answer key

1. (b) 2. (a) 3. (a)

Chapter 4: Business Services

A. Multiple-choice questions

1. Which service helps protect against specified financial losses? (a) Transport (b) Insurance (c) Advertising (d) Packaging

2. Warehousing mainly creates: (a) time utility (b) ownership only (c) demand only (d) advertising value

3. OTPs and banking PINs should be: (a) shared with callers (b) posted online (c) kept confidential (d) sent to unknown links

B. Short-answer questions

4. Define business services and name any five types.

5. Explain any four services provided by commercial banks.

6. What is e-banking? State any three benefits and two precautions.

7. Explain any four principles of insurance.

8. State the importance of transport and warehousing.

9. What are the features of effective business communication?

C. Long-answer questions

10. Explain the importance of insurance to business.

11. Explain the role of banking, transport and warehousing in business.

MCQ answer key

1. (b) 2. (a) 3. (c)

Chapter 5: Emerging Modes of Business

A. Multiple-choice questions

1. Selling products online directly to customers is an example of: (a) B2C (b) B2B only (c) C2C only (d) none

2. E-commerce is: (a) broader than all e-business (b) a part of e-business (c) unrelated to online trade (d) only offline sales

3. Assigning selected activities to an external specialist is called: (a) branding (b) outsourcing (c) labelling (d) warehousing

B. Short-answer questions

4. Distinguish between e-business and e-commerce.

5. Explain B2B, B2C, C2C and C2B with one example each.

6. State any four benefits and four limitations of e-business.

7. What is outsourcing? State its advantages.

8. Write any five safety precautions for online transactions.

C. Long-answer questions

9. Explain the process of an online transaction.

10. Discuss the advantages and risks of outsourcing.

MCQ answer key

1. (a) 2. (b) 3. (b)

Chapter 6: Social Responsibilities of Business

A. Multiple-choice questions

1. Social responsibility asks business to consider: (a) only short-term profit (b) stakeholders and society (c) only competitors (d) no one

2. Honest advertising is an example of: (a) business ethics (b) outsourcing (c) centralisation (d) warehousing

3. Reducing pollution is a responsibility towards: (a) environment (b) only owners (c) only suppliers (d) no stakeholder

B. Short-answer questions

4. Define social responsibility of business.

5. Explain business responsibility towards employees and consumers.

6. State any four responsibilities towards government.

7. What is business ethics? Give four examples.

8. Suggest any five ways a business can protect the environment.

C. Long-answer questions

9. Explain the responsibilities of business towards its major stakeholders.

10. Discuss arguments in favour of and against social responsibility.

MCQ answer key

1. (b) 2. (a) 3. (a)

Chapter 7: Consumer Protection

A. Multiple-choice questions

1. The right to receive correct information about a product is the right to: (a) be informed (b) choose any job (c) avoid bills (d) advertise

2. Which is a responsible consumer practice? (a) ignoring expiry dates (b) asking for a bill (c) believing every claim (d) sharing OTPs

3. Consumer dispute redressal includes commissions at: (a) District, State and National levels (b) village only (c) school level (d) company level only

B. Short-answer questions

4. Define consumer protection and state its importance.

5. Explain any six consumer rights.

6. State any five responsibilities of consumers.

7. What are ISI/BIS, AGMARK and hallmark used for?

8. List the basic steps a consumer can take to make a complaint.

9. What is the role of the CCPA in broad terms?

C. Long-answer questions

10. Explain consumer rights and responsibilities.

11. Describe the importance of consumer protection and the basic redressal mechanism.

MCQ answer key

1. (a) 2. (b) 3. (a)

Chapter 8: Marketing

A. Multiple-choice questions

1. The 4 Ps of marketing are Product, Price, Place and: (a) People (b) Promotion (c) Profit (d) Planning

2. Paid, non-personal communication by an identified sponsor is: (a) advertising (b) personal selling (c) warehousing (d) staffing

3. A product's name or symbol that helps identify it is part of: (a) branding (b) recruitment (c) controlling (d) insurance

B. Short-answer questions

4. Define marketing and state any four functions.

5. Explain the 4 Ps of the marketing mix.

6. Distinguish between marketing and selling.

7. Explain branding, packaging and labelling.

8. Explain any four factors that may affect pricing decisions.

9. State the main tools of promotion.

C. Long-answer questions

10. Explain the importance of marketing to business and consumers.

11. Explain advertising, personal selling, sales promotion and public relations.

MCQ answer key

1. (b) 2. (a) 3. (a)